Market structures

- Four structures, from most to least competitive
- How many firms, and how alike their products are
- Why it matters for prices and profits

Four market structures

- Perfect competition
- Monopolistic competition
- Oligopoly
- Monopoly

Perfect competition

- Many buyers and sellers, identical products
- No barriers to entry or exit
- Each firm is a price taker: P = MR = AR
- Short run: produce where MC = MR
- Long run: entry drives economic profit to zero

Short-run supply

- The supply curve is the MC curve above AVC
- Below minimum AVC the firm shuts down

Shutdown point

- Price below minimum AVC: shut down
- Fixed costs are sunk in the short run

Long-run equilibrium

- P = minimum ATC
- Zero economic profit, normal profit remains